Money Management & Technology:
Financial Practices of College Students

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Introduction

"Many college students are living on the edge of financial crisis and many of them do not posses the knowledge to manage their money" (Henry, Weber, & Yarbrough, 2001, p. 244).

A 2014 NY Mobile Services Study found that those between the ages of 18 to 29 were among the highest groups to own a smartphone (94%).

This study sought to determine if college students are using technology to manage their finances and if so, what methods of technology are they using.

Hypotheses

H1: College students are more likely to fail a personal finances knowledge quiz than they are to pass.

H2: The majority of college students will use technology to manage their finances than not use technology to manage their finances.

H3: The majority of college students will use online banking to manage their money than not use online banking to manage their money.

H4: The majority of college students are more likely to use a cell phone, smartphone, and a personal computer to manage their finances than they are to use a computer at a public place, a computer at family or friend's house, or an iPod or other MP3 player.

H5: The majority of college students will use technology based applications to manage their finances than not use technology based applications to manage their finances.

H6: The majority of college students are more likely to use online banking via smartphone, online banking via computer, financial apps and mobile ready sites than they are to use computer assisted programs.

H7: The majority of college students will check their checking account balance online.

H8: The majority of college students will use automatic bill payment to manage their money.

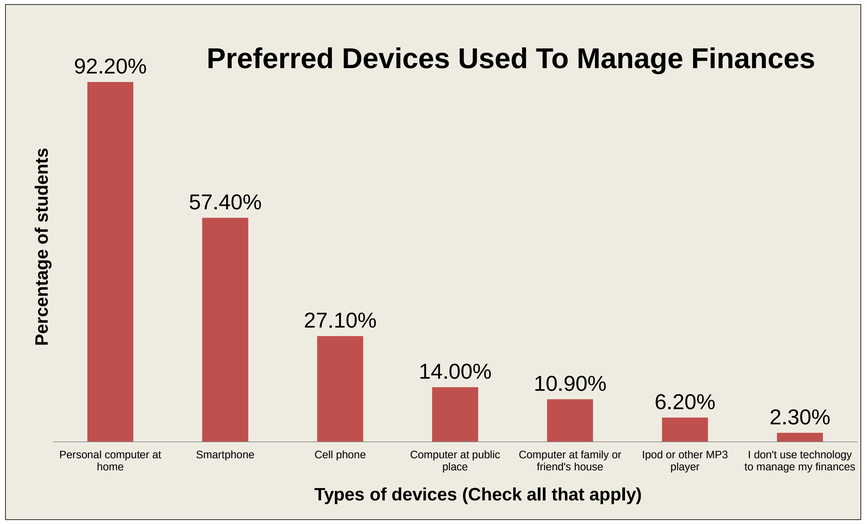
H9: The majority of college students will search for general information about finances online.

H10: The majority of college students will shop online.





Results



H1	Supported	83.7% of the students scored a 69.9% or below.
H2	Supported	97.7% indicated that they do use technology to manage their finances.
H2	Supported	94.5% of college students indicated that they do use online banking to manage their money.
H4	Supported	Personal computer at home (92.2%) Smartphone (57.4%) Cell phone (27.1%) Computer at a public place (14.0%) Computer at a family or friend's house (10.9%) IPod or other MP3 players (6.2%)
H5	Supported	Only 5.4% college students said that they do not use technology-based applications.
H6	Supported	Online banking via computer (79.1%) Online banking via Smartphone (59.7%) Financial apps (21.7%) Mobile ready sites (17.8%) Computer assisted programs (13.2%).
H7	Supported	94.5% college students revealed that they check their checking account balance online.
H8	Not Supported	58.4% college student specified that they do not use automatic bill payment from their bank account to manage their money.
H9	Supported	73.8% college students admitted to searching for general information online.
H10	Supported	96.0% college students revealed that they shop online at least every few months.



Methods

An online survey administered at a large Midwestern research university examined 129 undergraduate students between the ages of 18-25 during the 2014 spring and summer sessions. Several student recruitment methods were utilized to create sample size:

- Use of flyers around campus
- Five-minute classroom visits by researchers
- Invitation emails were sent to faculty teaching online courses and leaders of undergraduate and graduate student organizations.
- Students were given the option to enter a raffle drawing for one $100 gift certificate for the university bookstore.

Due to the exploratory nature of this study and to our small sample size, descriptive statistics were used to analyze the data.

Implications

Our results show that college students are using some form of technology to manage their money; however a large number are failing financial knowledge quizzes and this can have an impact on how they are managing their money.

Understanding the significance of personal technology devices and applications used in money management practices of college students provides parents, financial professionals, and educators with relevant tools and talking points to promote better money management practices and in the long run this may improve student's financial literacy.

Limitations and Future Direction

- The study only answers questions revolved around usage of technology, and types of technology devices, and applications used to manage money. Student's satisfaction with devices was not measured.
- Better understanding of the connection between technology and money management (credit card debt, student loan debt, and online banking).

References

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